wisely or effectively. Translating power into influence is ultimately a product of leadership, systems, institutions, and culture.

While the agenda of leveraging foreign relations for domestic development is broad, touching upon almost every aspect of public policy, two priorities stand out. The first involves national security. Defence and security remain the sole preserves of the government and in a difficult regional environment such as India's will always be afforded a priority in national budgetary allocations. India has a large standing army with expeditionary potential and battle experience, a potent air force, a blue water navy capable of operating in deep waters and the open seas, and a nuclear weapons capability. Few countries beyond the five permanent members of the UN Security Council (the United States, Russia, China, France, and the United Kingdom) can boast all these attributes. At the same time, India's military and national security apparatus needs to constantly upgrade its capabilities—whether planning and management, defence industrial production and technology, recruitment and training, posture and operations, or intelligence—to meet its emerging challenges. While India's ability to deal with non-state actors (such as terrorists, separatists, and pirates) and with Pakistan (a country that, despite its nuclear arsenal, suffers from resource disadvantages vis-à-vis India) may be difficult, they are more manageable. The challenge of China, which enjoys a significant resource and technological edge over India, presents a much more difficult proposition.

The second priority relates to India's economy. While the management of a large and diverse economy such as India's is a complex exercise, India's shortcomings are particularly acute on the industrial and technological sides, with implications for employment, education, infrastructure, health, agriculture, environmental, energy, and trade policy. India's developing economy is unusual in having been led by consumption and services rather than savings and manufacturing (as characterized the development of several other Asian economies). As agriculture becomes more productive, an insufficient industrial base has implications for employment and economic security. For the foreseeable future, Indian policymakers will be